November 02, 2026

Cholamandalam Investment and Finance Company Limited: Ratings reaffirmed for PTCs issued under vehicle loan securitisation transactions

Summary of rating action

Trust name	Instrument*	Initial rated amount (Rs. crore)	Amount O/s after last surveillance (Rs. crore)	Current rated amount (Rs. crore)	Rating action	Financial Sector Regulator#
PLATINUM TRUST APR 2025 - TRANCHE II	PTC Series A	661.54	388.40	326.36	[ICRA]AAA(SO); reaffirmed	RBI
	Second Loss Facility	9.92^	16.54	16.54	[ICRA]A-(SO); reaffirmed	RBI
PLATINUM TRUST JUN 2025 - TRANCHE II	PTC Series A	251.08	138.59	123.54	[ICRA]AAA(SO); reaffirmed	RBI
	Second Loss Facility	3.77^^	6.28	6.28	[ICRA]A-(SO); reaffirmed	RBI

**Instrument details are provided in Annexure I;*

^Amount for second loss facility revised to 2.50% of the initial pool principal from 1.50% as per transaction documents executed (i.e. to Rs. 16.54 crore from Rs. 9.92 crore)

^^Amount for second loss facility to 2.50% of the initial pool principal from 1.50^ of the initial pool principal as per transaction documents executed (i.e. to Rs. 6.28 crore from Rs. 3.77 crore)

#SEBI's grievance redressal/dispute resolution and SEBI investor protection mechanisms such as SCORES and ODR shall not be available for activities and instruments which fall under the regulatory purview of Financial Sector Regulators other than SEBI.

Rationale

The pass-through certificates (PTCs) are backed by vehicle loan receivables originated by Cholamandalam Investment and Finance Company Limited (CIFCL/Originator; rated [ICRA]AA+ (Positive)/[ICRA]A1+)[1]. CIFCL is also the servicer for the transactions.

The ratings reaffirmation factors in the build-up of the credit enhancement cover over the future PTC payouts on account of the moderate amortisation and healthy performance of the pools. The ratings also draw comfort from the fact that the breakeven collection efficiency is comfortably below the actual collection level observed in the pools till the October 2026 payout month.

Pool performance summary

Parameter	PLATINUM TRUST APR 2025 - TRANCHE II	PLATINUM TRUST JUN 2025 - TRANCHE II
Payout month	October 2026	October 2026
Months post securitisation	18	16
Pool amortisation (as % of initial pool principal)	50.7%	50.8%
Cumulative collection efficiency[2]	98.2%	98.1%
Loss-cum-90+ dpd[3] (% of initial pool)	1.0%	1.3%
Loss-cum-180+ dpd[4] (% of initial pool)	0.5%	0.4%
Cumulative cash collateral (CC) utilisation	0.0%	0.0%

[1] *The current rating rationale of the originator, available at this link, provides its detailed rating history and rating transitions.*

[2] *(Cumulative current and overdue collections till date)/(Cumulative billing till date + Opening overdues at the start of the transaction)*

[3] *Inclusive of unbilled and overdue principal portion of contracts delinquent for more than 90 days, as a % of Initial pool principal*

[4] *Inclusive of unbilled and overdue principal portion of contracts delinquent for more than 180 days, as a % of Initial pool principal*

Parameter	PLATINUM TRUST APR 2025 - TRANCHE II	PLATINUM TRUST JUN 2025 - TRANCHE II
Breakeven collection efficiency[5] for PTC Series A	80.5%	79.6%
CC (% of balance pool)	15.2%	15.3%
Excess interest spread (EIS; % of balance pool) for PTC Series A[6]	7.4%	8.6%

Transaction structure

For PLATINUM TRUST APR 2025 - TRANCHE II and PLATINUM TRUST JUN 2025 - TRANCHE II

As per the transaction structure, the monthly cash flow schedule comprises the promised interest payout. The principal is expected to be paid on a monthly basis (100% of the pool principal billed) but is promised on the final maturity date. Any surplus EIS, after meeting the promised and expected payouts, will flow back to the Originator on a monthly basis. The CC, if utilised, will not be replenished from EIS in the subsequent months. Any prepayment in the pool would be used for the prepayment of the PTC Series A principal.

Reset of Credit Enhancement

At the Originator's request for resetting the credit enhancement, ICRA has analysed both the trusts, basis the CC mentioned in the table provided below. Based on the pools' performance, the ratings for the PTCs will remain unchanged even after the CC amount is reset. The CC reset shall be subject to the approval of the PTC investors. However, as per regulatory guidelines, the amount of CC that can be released would be restricted to 60% of the difference between the current CC amount and the revised CC amount allowed by ICRA.

Transaction name	Current CC outstanding [A]	CC required as per ICRA for maintaining present rating [B]	CC that can be released [C] = 60%*(A - B)	Revised CC limit [D] = (A - C)
PLATINUM TRUST APR 2025 - TRANCHE II	49.62 (FLF: 33.08 and SLF: 16.54)	32.25 (FLF: 21.50 and SLF: 10.75)	10.42 (FLF: 6.95 and SLF: 3.47)	39.20 (FLF: 26.13 and SLF: 13.07)
PLATINUM TRUST JUN 2025 - TRANCHE II	18.85 (FLF: 12.57 and SLF: 6.28)	13.19 (FLF: 8.80 and SLF: 4.39)	3.39 (FLF: 2.26 and SLF: 1.13)	15.46 (FLF: 10.31 and SLF: 5.15)

All figures in Rs. Crore

Key rating drivers and their description

Credit strengths

Established track record of CIFCL – CIFCL, which would also be servicing the loans in both the transactions, has an established track record of more than four decades in the lending business with adequate underwriting policies and collection procedures across a wide geography. The company has adequate processes for servicing of the loan accounts in the securitised pools.

Build-up of credit enhancement available in the structure – The rating factors in the build-up of credit enhancement for the transactions, with a higher cash collateral available as a percentage of the balance pool principal as compared to the initial cash collateral at time of securitisation. Internal credit support is also available through scheduled EIS for the pools.

Healthy pool performance – The delinquency for the pools has remained low with the loss cum 90+ days past due (dpd; as percentage of initial pool principal) below 1.5% in the last 12 months for both the pools. Further, the performance of the pools has been healthy with the cumulative collection efficiency of over 98%, comfortably above the break-even collection efficiency levels.

[5] *(Balance cash flows payable to investor – CC available)/Balance pool cash flows*
[6] *(Pool cash flows – Cash flows to PTC A)/Pool principal outstanding*

Credit challenges

High loan-to-value (LTV) contracts – Proportion of contracts with loan-to-value (LTV) ratio of more than 80% is high at ~65% (in terms of the balance pool principal outstanding) for Apr 2025 TII and at ~60% for Jun 2025 TII. High share of high LTV loans in the pools augments the risk given the moderate borrower profile and their incomes being susceptible to economic downturns.

Risks associated with lending business – The pools' performance would remain exposed to macro-economic shocks, business disruptions and natural calamities that may impact the income-generating capability of the borrowers and their ability to make timely repayments of their loans.

Key rating assumptions

ICRA's cash flow modelling for rating securitisation transactions involves the simulation of potential losses, delinquencies and prepayments in the pool. The losses and prepayments are assumed to follow a log-normal distribution. The assumptions for the losses and the coefficient of variation are considered on the basis of the values observed from the analysis of the past performance of the Originator's loan portfolio as well as the characteristics of the specific pool being evaluated. The resulting collections from the pool, after incorporating the impact of the losses and prepayments, are accounted for in ICRA's cash flow model, in accordance with the cash flow waterfall of the transaction.

For the current pools, ICRA has estimated the shortfall in principal collection and prepayments during the tenure as provided in the following table.

Transaction name	Estimated shortfall (% of initial pool principal)	Prepayment (p.a.)
PLATINUM TRUST APR 2025 - TRANCHE II	1.75%	4.8% - 18.0%
PLATINUM TRUST JUN 2025 - TRANCHE II	2.00%	4.8% - 18.0%

Details of key counterparties

The key counterparties in the rated transactions are as follows:

Transaction name	PLATINUM TRUST APR 2025 - TRANCHE II	PLATINUM TRUST JUN 2025 - TRANCHE II
Originator	Cholamandalam Investment and Finance Company Limited	
Servicer	Cholamandalam Investment and Finance Company Limited	
Trustee	IDBI Trusteeship Services Limited	
FLF Bank	State Bank of India	Axis Bank Limited
SLF Bank	Axis Bank Limited	Axis Bank Limited
Collection and payout account bank	Hong Kong and Shanghai Banking Corporation	

Liquidity position

For PTC Series A of PLATINUM TRUST APR 2025 - TRANCHE II and PLATINUM TRUST JUN 2025 - TRANCHE II: Strong

The liquidity for PTC Series A is strong for after factoring in the credit enhancement available to meet the promised payout to the investors. The total credit enhancement is 5.00 times and 4.75 times the estimated losses for Apr 2025 TII and Jun 2025 TII pools, respectively.

For Second Loss Facility of both trusts: Strong

The liquidity for the SLF facility is strong as any shortfall in PTC payouts will be firstly paid by utilising the FLF. SLF could be drawn only after FLF is fully utilised.

Rating sensitivities

Positive Triggers

Not applicable for PTC Series A for both the trusts

The ratings of SLF can be upgraded, provided there is sustained strong collection performance of the underlying pool contracts, resulting in an increase in the credit enhancement cover available for SLF.

Negative Triggers - Pressure on the ratings could emerge due to sustained weak collection performance of the underlying pool (monthly collection efficiency of <90%), leading to higher-than-expected delinquency levels and credit enhancement utilisation levels. Weakening in the credit profile of the servicer could also exert pressure on the ratings.

Analytical approach

The rating action is based on the performance of the pools till the October 2026 payout month, the present delinquency profile of the pool of contracts, the performance expected over the balance pool tenure, and the credit enhancement available in the transactions.

Analytical approach	Comments
Applicable rating methodologies	Securitisation Transactions
Parent/Group support	Not applicable
Consolidation/Standalone	Not applicable

About the originator

CIFCL, a non-banking financial company, is a part of the Chennai-based Murugappa Group of companies. Incorporated in 1978, it operates through 1,761 branches across 26 states and 7 Union Territories (UTs) with net AUM of Rs. 2,24,334 crore as of March 2026. The company's core business segments include vehicle finance (55%) and HE loans (18%). CIFCL has forayed into three new business divisions in the consumer and SME ecosystem, namely CSEL, SBPL and SME, which contributed 17% to AUM, while housing finance (7%) accounted for the rest. As of March 2026, CIFCL had two wholly-owned subsidiaries, Cholamandalam Leasing Limited and Cholamandalam Securities Limited, a joint venture with Payswiff Technologies Private Limited, and an associate entity – Vishvakarma Payments Private Limited.

In FY2026, CIFCL (standalone) reported a net profit of Rs. 5,220 crore on a managed asset base of Rs. 2,55,372 crore compared with Rs. 4,259 crore and Rs. 2,07,874 crore, respectively, in FY2025. In FY2026, CIFCL (consolidated) reported a net profit of Rs. 5,229 crore on a managed asset base of Rs. 2,55,750 crore compared with Rs. 4,260 crore and Rs. 2,08,113 crore, respectively, in FY2025.

Key financial indicators (audited)

CIFCL (Standalone)	FY2025	FY2026	Q1 FY2027*
Total income	26,055	31,445	8,933
Profit after tax	4,259	5,220	1,654
Total managed assets^	2,07,874	2,55,372	2,68,352
Gross stage 3	2.8%	3.1%	3.3%
CRAR	19.8%	19.2%	19.8%

*Source: Company, ICRA Research; All ratios as per ICRA's calculations; Amount in Rs. crore; ^Managed Assets= Total assets (as per balance sheet) + Assignment book; *Limited review*

Status of non-cooperation with previous CRA: Not applicable

Any other information: None

Rating history for past three years

Trust name	Current rating (FY2027)					Chronology of rating history for the past 3 years			
	Instrument	Initial rated amount (Rs. crore)	Current rated amount (Rs. crore)	Date & rating in FY2027		Date & rating in FY2026		Date & rating in FY2025	Date & rating in FY2024
				Nov 02, 2026	Aug 17, 2026	Aug 18, 2025	May 06, 2025	-	-
PLATINUM TRUST APR 2025 - TRANCHE II	PTC Series A	661.54	326.36	[ICRA] AAA(SO)	[ICRA] AAA(SO)	[ICRA] AAA(SO)	Provisional [ICRA]AAA(SO)	-	-
	Second loss facility	9.92	16.54	[ICRA] A-(SO)	[ICRA] A-(SO)	[ICRA] A-(SO)	Provisional [ICRA]A-(SO)	-	-

Trust name	Current rating (FY2027)					Chronology of rating history for the past 3 years			
	Instrument	Initial rated amount (Rs. crore)	Current rated amount (Rs. crore)	Date & rating in FY2027		Date & rating in FY2026		Date & rating in FY2025	Date & rating in FY2024
				Nov 02, 2026	Sep 23, 2026	Sep 29, 2025	Jul 01, 2025	-	-
PLATINUM TRUST JUN 2025 - TRANCHE II	PTC Series A	251.08	123.54	[ICRA] AAA(SO)	[ICRA] AAA(SO)	[ICRA] AAA(SO)	Provisional [ICRA]AAA(SO)	-	-
	Second loss facility	3.77	6.28	[ICRA] A-(SO)	[ICRA] A-(SO)	[ICRA] A-(SO)	Provisional [ICRA]A-(SO)	-	-

Complexity level of the rated instrument

Trust name	Instrument	Complexity indicator
PLATINUM TRUST APR 2025 - TRANCHE II	PTC Series A	Highly Complex
	Second Loss Facility	Highly Complex
PLATINUM TRUST JUN 2025 - TRANCHE II	PTC Series A	Highly Complex
	Second Loss Facility	Highly Complex

The Complexity Indicator refers to the ease with which the returns associated with the rated instrument could be estimated. It does not indicate the risk related to the timely payments on the instrument, which is rather indicated by the instrument's credit rating. It also does not indicate the complexity associated with analysing an entity's financial, business, industry risks or complexity related to the structural, transactional or legal aspects. Details on the complexity levels of the instruments are available on ICRA's website: Click here

Annexure I: Instrument details

Trust name	Instrument	Date of issuance /Sanction	Coupon rate (p.a.p.m.)	Maturity date	Current rated amount (Rs. crore)	Rating	Financial Sector Regulator#
PLATINUM TRUST APR 2025 - TRANCHE II	PTC Series A	April 30, 2025	7.20%	May 19, 2030	326.36	[ICRA]AAA(SO)	RBI
	Second Loss Facility		-		16.54	[ICRA]A-(SO)	RBI
PLATINUM TRUST JUN 2025 - TRANCHE II	PTC Series A	June 30, 2025	6.85%	July 19, 2030	123.54	[ICRA]AAA(SO)	RBI
	Second Loss Facility		-		6.28	[ICRA]A-(SO)	RBI

Source: Company; #SEBI's grievance redressal/dispute resolution and SEBI investor protection mechanisms such as SCORES and ODR shall not be available for activities and instruments which fall under the regulatory purview of Financial Sector Regulators other than SEBI

Annexure II: List of entities considered for consolidated analysis

Not applicable

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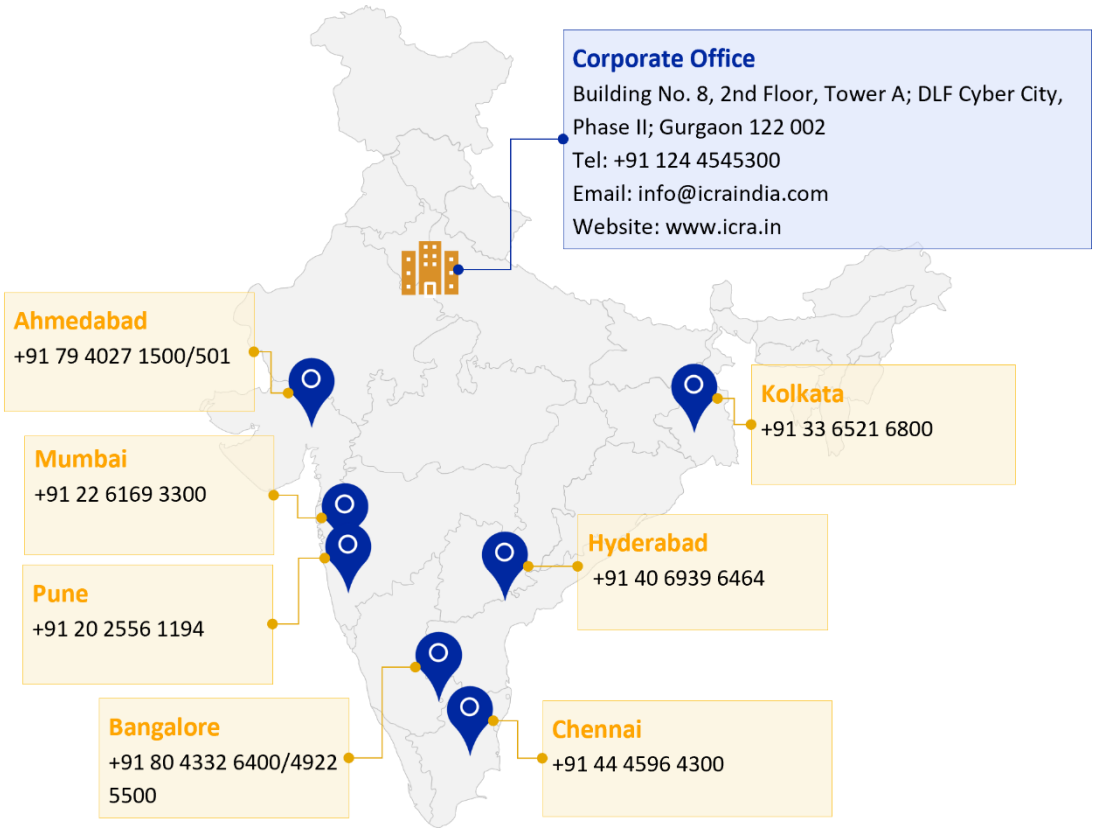
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